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#Flashnote

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Latest Production Plan: Rubin Resumed, Vera Raised

- We believe Rubin GPU CoWoS production has resumed recently using a single-pieced heat spreader. We also believe NVDA aims to replace the current interposer with a newly designed one in the next one to two months. This is to make up for any possible performance constraints because of the adoption of the single-pieced heat spreader (instead of the two-pieced version). All in all, the Rubin production halt is already behind us. In addition, we believe NVDA is aggressively increasing the Rubin GPU production target from 1.8-1.9m to 2.2-2.3m for 2026E, while Blackwell GPU production volume may be reduced to ~5m from 5.5m previously to free up CoWoS capacity for Rubin. Rubin production could jump multiple times QoQ in C3Q27 and more than make up the 2Q production loss. Rubin production volume is expected to cross over Blackwell in C4Q26E.

- TSMC may only decide the first version of its 2027E CoWoS allocation sometime in C3Q26E. We believe NVDA is requesting more than double YoY CoWoS allocation from TSMC in 2027E vs 2026E of ~650k (600k is for GPU). Of note, we estimate NVDA needs at least 800-900k CoWoS to keep its GPU production volume flat YoY. With additional CoWoS demand from Vera CPU and Spectrum switch controller, we should not be surprised by 1m+ CoWoS allocation to NVDA in 2027E.

- We estimate NVDA will produce 2.3-2.5m/5-6m Vera CPU in 2026/27E, with upside risk to the 2027 figure. In 2026, 600-800k Vera CPU will be used for Strata module (2xRubin GPU with 1xVera CPU), and the rest is available for Vera CPU rack or standalone Vera CPU. Similar math suggests NVDA could have up to 2m Vera CPU for standalone sales in 2027E. On the demand side, there could be already million-units demand for NVDA's Vera CPU from US Neoclouds and Chinese CSPs. This should be the reason behind Jensen's $20b guidance. At an estimated ASP of $6-7k, NVDA only needs to ship 3m Vera CPUs to meet the $20b standalone CPU revenue guidance. However, we believe it is more likely for NVDA to reach this $20b goal sometime in 2027E than before end-2026E give the supply constraint.

- One may wonder why NVDA is working on 96/64GBx8 SoCAMM, or 768GB/512GB per Vera CPU, compared with the ideal density of 192GBx8 (1.5TB per Vera CPU). This could be a result of multiple reasons such as rising memory cost, but we believe the key one is DRAM supply constraint. We estimate NVDA can get 35-40b Gb SoCAMM next year, up from 28b this qtr. But such volume could only support ~2.5m Vera CPUs if they are all based on 192GBx8 SoCAMM density. Average SoCAMM density per Vera CPU needs to go down to ~850GB (~106GB x8) for 35-40b Gb SoCAMM to support up to 5.5m Vera CPUs.

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